CFO MANAGEMENT REPORT

Northstar Cloud | FY2026 outlook and financial performance review

ILLUSTRATIVE CASE STUDY — NOT ACTUAL COMPANY RESULTS

Executive decision summary

The synthetic SaaS business is projected to grow revenue materially in FY2026, but its cost base remains too high to support positive EBITDA. Cash is forecast to turn negative early in FY2026 without additional funding or decisive cost intervention. The model should therefore be treated as a strategic turnaround and funding-planning scenario, not as a self-financing growth plan.

FY2026 key metric	Forecast	Management interpretation
Subscription revenue	$6.16m	Up 50.8% versus FY2025 illustrative actuals
EBITDA	($2.59m)	Loss-making; negative 42.0% margin
Year-end cash	($2.85m)	Unfunded cash deficit; not a viable cash balance
Exit ARR	$7.19m	Annualised year-end recurring revenue run rate
Exit customers	1,721	Illustrative customer count; model permits fractional values
Rule of 40 proxy	8.8%	Growth offset by material negative EBITDA margin

Leadership priorities

1. Prepare an immediate financing and liquidity bridge, including a minimum-cash covenant and downside case. **2.** Rephase hiring and reassess payroll productivity. **3.** Review sales efficiency and CAC payback before scaling acquisition spend. **4.** Monitor the corrected budget EBITDA variance and strengthen budget-to-actual reconciliation controls.

Source: Northstar Cloud synthetic SaaS FP&A model, including corrected FY2025 budget EBITDA calculations. FY2026 forecast figures are unchanged; amounts rounded.

PERFORMANCE & UNIT ECONOMICS

Growth and profitability

Measure	FY2025 illustrative	FY2026 forecast	FY2027 forecast
Revenue	$4.08m	$6.16m	$8.23m
EBITDA	($2.01m)	($2.59m)	See model
EBITDA margin	(49.2%)	(42.0%)	(39.4%)
Exit ARR	$5.10m	$7.19m	$9.23m
Exit MRR	$0.425m	$0.599m	$0.769m

FY2026 revenue increases approximately 50.8% year over year, while the EBITDA loss widens by about $0.58m. Margin improves by 7.2 percentage points, but this improvement is insufficient to achieve profitability. The FY2027 EBITDA margin remains negative under the modelled assumptions.

SaaS operating indicators

FY2026 indicator	Value	Interpretation / limitation
Gross margin	81.0%	Constant service-cost ratio assumption
Monthly logo churn	1.05%	Illustrative average; not cohort-based
CAC proxy	$2,584	Sales & marketing spend divided by new customers
LTV proxy	$23,501	ARPU x gross margin / churn; simplified
CAC payback	9.2 months	Proxy; excludes cohort-specific timing
Rule of 40 proxy	8.8%	Annual revenue growth + EBITDA margin

Cost and operating leverage

Payroll is a material fixed-cost pressure: the operating model forecasts headcount rising from 43 at FY2025 year-end to 55 at FY2026 year-end. Although revenue grows, hiring and associated operating expenditure outpace the business's ability to reach break-even. Management should test hiring freezes, role prioritisation and revenue per employee against the FY2027 growth plan.

The customer and acquisition metrics are simplified model outputs, not audited SaaS cohort KPIs. ARR is a run-rate metric and differs from annual recognised revenue.

LIQUIDITY, CONTROLS & ACTIONS

Liquidity risk: immediate attention required

The FY2025 illustrative closing cash balance is only **$0.07m**. January 2026 closing cash is forecast at approximately **($0.15m)**, and the FY2026 closing position deteriorates to **($2.85m)**. The negative cash figures represent a funding gap, not an operationally feasible bank balance. The model does not automatically raise equity or new debt to resolve this shortfall.

Illustrative FY2025 budget review — corrected

The FY2025 illustrative budget review shows **$4.08m actual revenue** versus **$3.95m budget**, a favourable **$0.13m / 3.35%** variance. The budget EBITDA formula was corrected to remove double-counted operating expenses. **Corrected budget EBITDA is ($1.81m)**, versus **actual EBITDA of ($2.01m)**, representing an approximately **($0.19m) unfavourable** variance. These are illustrative model outputs and should be independently recalculated in Excel before external reliance. The cash flow budget remains a simplified proxy.

Recommended management action plan

Priority	Action	Suggested owner / horizon
Critical	Build 13-week cash flow and identify bridge funding before forecast cash turns negative	CFO / immediately
High	Rebuild budget EBITDA from a non-overlapping expense structure; reconcile to monthly P&L;	FP&A; lead / before publication
High	Run headcount, hiring and vendor spend scenarios; quantify savings and EBITDA effect	Finance + HR / 30 days
High	Monitor CAC, churn, payback and net customer adds monthly using actual cohorts where available	Growth + FP&A; / monthly
Medium	Add financing, deferred revenue, working-capital detail and balance sheet integration	Finance systems / next model version

Model limitations and publication status

This report uses the model's saved calculation outputs and the corrected FY2025 budget EBITDA summary. It is **not** an independent audit or full cell-by-cell validation. The workbook is a synthetic management planning demonstration, not a fully integrated or audited three-statement financial model. It excludes detailed deferred revenue, cohort retention and financing mechanics. **The negative FY2026 cash balance represents an unfunded financing requirement; the model does not automatically resolve it.**

Prepared for portfolio demonstration by Yashkumar Chaudhari. No real company data, investment recommendation or assurance is provided.